

**POLICY FOR DETERMINING
MATERIAL SUBSIDIARY
FOR ASTONEA LABS LIMITED**

CIN:L24304CH2017PLC041482

**Registered Office: SCO 186-187,2nd Floor, Cabin No. 206, Sector 8 C, Sector 8
Chandigarh, India, 160009**

POLICY FOR DETERMINING MATERIAL SUBSIDIARIES

(In compliance with Regulation 16(c) of SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015)

1. PREAMBLE

This Policy has been formulated in accordance with **Regulation 16(c)** and other applicable provisions of the **SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015** (SEBI LODR), to provide a structured framework for identifying **Material Subsidiaries** and ensuring appropriate governance and oversight of such entities.

The Board of Directors of **Astonea Labs Limited** recognizes that subsidiaries are an integral part of the Company's business ecosystem and that the activities and decisions of these subsidiaries can significantly impact the overall performance, risk profile, and reputation of the Company.

In line with this, the Board has adopted this Policy to:

- Promote **transparency** in subsidiary operations and decision-making,
- Ensure **accountability** of subsidiary management to the parent company, and
- Strengthen **risk management** practices in relation to subsidiaries.

This Policy provides guidance on the identification of Material Subsidiaries, governance standards, reporting obligations, and Board oversight to safeguard the interests of the Company and its shareholders.

2. OBJECTIVE

The primary objectives of this Policy are to:

1. Determine Material Subsidiaries

Establish criteria to identify subsidiaries whose operations or financials are significant enough to require focused Board oversight and governance.

2. Ensure Oversight of Significant Decisions

Enable the Board to monitor and review major transactions, strategic initiatives, and operational decisions of Material Subsidiaries.

3. Protect Shareholder Interests

Safeguard the financial, operational, and reputational interests of the Company and its shareholders by maintaining effective control over subsidiaries.

4. Establish Governance Guidelines

Define the composition of the subsidiary Board, including the appointment of Independent Directors where necessary, and set out reporting requirements to the parent company.

3. DEFINITIONS

a. “Subsidiary”

A company in which **Astonea Labs Limited**:

- Holds more than 50% of the share capital, or
- Controls the composition of the Board of Directors, directly or indirectly

b. “Material Subsidiary”

A subsidiary shall be considered “Material” if:

1. The **income or revenue** of the subsidiary exceeds **10% of the consolidated turnover** of the Company and its subsidiaries in the immediately preceding financial year; or
2. The **net worth** of the subsidiary exceeds **10% of the consolidated net worth** of the Company and its subsidiaries in the immediately preceding financial year.

c. “Significant Transaction or Arrangement”

Any transaction, agreement, or arrangement between the Company and its subsidiary which exceeds **10% of the consolidated turnover** of the Company in the preceding financial year.

4. Governance of Material Subsidiaries

To ensure effective oversight, transparency, and accountability in the management of Material Subsidiaries, the following governance measures shall be implemented:

1. Board Representation

- At least **one Independent Director** of Astonea Labs Limited shall be appointed to the Board of each **Material Non-listed Subsidiary**.
- Such representation ensures that the subsidiary is guided by independent oversight, aligned with the governance and strategic priorities of the parent company.

2. Audit Committee Oversight

- The **Audit Committee** of the Company shall periodically review the following aspects of Material Subsidiaries:
 1. **Financial statements** to assess financial performance, accuracy of reporting, and compliance with applicable accounting standards.
 2. **Significant related-party transactions** to ensure transparency, fairness, and compliance with regulatory requirements.
 3. **Key operational and strategic decisions**, including investments, capital allocation, risk management, and material contracts.

3. Board Meeting Minutes

- **Minutes of all Board meetings** of Material Subsidiaries shall be placed before the Board of Astonea Labs Limited.
- This practice enables the parent company to monitor subsidiary operations, decisions, and compliance with governance standards.

4. Disposal of Shares or Sale of Assets

- Any **disposal of shares** in a Material Subsidiary or **sale of assets** exceeding **20% of the subsidiary's net worth** shall require **prior approval of the Board of Astonea Labs Limited**.
- This ensures that major strategic or financial actions of Material Subsidiaries are aligned with the interests of the Company and its shareholders.

5. Review and Reporting

- The **Board of Directors** shall review the list of Material Subsidiaries **at least once a year** to confirm their status and ensure appropriate governance measures are in place.
- Any **changes in the status** of subsidiaries (Material or Non-Material) must be reported to the **Audit Committee** and **disclosed in the Annual Report** of the Company.
- This Policy, along with details of Material Subsidiaries, shall be **disclosed on the Company's website** in compliance with **Regulation 46 of SEBI LODR**, promoting transparency and accountability to stakeholders.

6. Amendments

- The **Board of Directors** reserves the right to **amend or modify** this Policy, in whole or in part, as may be required to:
 1. Comply with applicable laws and regulations;
 2. Align with best governance practices; or
 3. Address evolving business, operational, or risk management requirements.

7. Effective Date

This Policy has been approved by the Board of Directors of **Astonea Labs Limited** on **December 03, 2025**, and shall be effective from the same date.

Note: Approved in the board meeting dated December 03, 2025.
